BEYOND THE USUAL MUTUAL FUND

Many investment products. Which to choose?

4 questions to read any product. 4 rules to decide if it’s for you.

Sharique Samsudheen

You keep hearing these. But what are they?

Index Fund | ETF | Gold ETF | Gilt Fund | Bond ETF

Momentum Fund | Smart Beta | US Fund of Funds | Nasdaq ETF

US Stocks via GIFT City

By the end of this session, you'll decode every one of these.

4 Questions to Understand All Products

Q1

What do I own?

Equity · Debt · Gold · Hybrid

Q2

Where?

India · International

Q3

Who picks?

Active · Index · Strategy index

Q4

How do I hold it?

Mutual fund · ETF · Fund of Funds · Direct

Q1 · What do I own?

Each asset has one job

Equity

Growth

You own a piece of businesses. Swings hard in the short term.

Debt

Stability

You lend money and earn interest. Moves slowly.

Gold

Protection

Often holds up when other things fall. Not a growth engine.

Hybrid

A mix

Equity, debt and sometimes gold, in one fund.

Q1 · What do I own?

Default and upgrade

DEFAULT

Match it to your time horizon and risk appetite

Need it in under 3 years → **Debt**
3 to 5 years → **Hybrid**
5+ years → **Equity**
Plus a small layer of **Gold**

UPGRADE

Your own stocks, or sector and thematic funds

Concentrated bets for higher growth. Only as a satellite, with a small part of your capital, after the default is in place.

Q2 · Where?

Which country is your money invested in?

India

Home market

Indian stocks, bonds and gold, priced in rupees. Your income, spending and goals are in rupees too.

International

Mostly the US

Foreign stocks and bonds, priced in dollars. The rupee has weakened against the dollar over time.

Q2 · Where?

Default and upgrade

DEFAULT

India

Your core stays invested in India. Going international is not needed at every portfolio size.

UPGRADE

International, once your portfolio crosses ₹10-20 lakh

Below that, costs and tax paperwork eat into a small amount. Keep it to part of the satellite.

Q3 · Who picks?

A person, a list, or a rule

Active

A person decides

A fund manager picks stocks to beat the market. Costs more. May still lag.

Index

Follows a list

Buys whatever is in the index, like Nifty 50. Cheapest. You get the market's return.

Strategy index

Follows a rule

Momentum, quality, low volatility, value. Rules-based active. Each rule has long bad phases.

Watch out: "Index" doesn't always mean diversified. Some indices hold just 10 stocks.

Q3 · Who picks?

Default and upgrade

DEFAULT

Large cap → **Index**
Mid and small cap → **Active**, picked carefully

Over the 10 years to June 2026, more than 70% of active funds lagged their benchmark in every category.

UPGRADE

Strategy indices

Momentum, quality, low volatility, value. Only in the satellite, and only if you can sit through years of lagging.

Source: S&P Dow Jones Indices, SPIVA India Scorecard Mid-Year 2026

Q4 · How do I hold it?

Same contents, different wrapper

Mutual fund

Buy from the fund house

At the day-end price (NAV). No demat needed. SIP runs on its own.

ETF

Buy on the exchange

At the live price, like a share. Needs demat. Watch trading volume and price vs NAV gap.

Fund of Funds

A fund holding a fund

Often a mutual fund that just buys an ETF, so you can SIP into it. Two layers of cost.

Direct

Own the stock or ETF itself

Indian stocks in your demat. US stocks and ETFs via GIFT City apps. You pick and manage.

Q4 · How do I hold it?

Default and upgrade

DEFAULT

Mutual fund

Automatic monthly SIP, no demat, no daily decisions.

UPGRADE

ETF

When the mutual fund version doesn’t exist, is closed to fresh money, or is just an FoF over the ETF with extra cost.

Direct

For your own stock picks, and for international via GIFT City apps, since most international mutual funds are closed to fresh money.

PUTTING IT TOGETHER

Decoding “Gold ETF”

Q1 · What do I own?	Equity · Debt · **Gold** · Hybrid	**Default**
Q2 · Where?	**India** · International	**Default**
Q3 · Who picks?	Active · **Index** · Strategy index	**Default**
Q4 · How do I hold it?	Mutual fund · **ETF** · Fund of Funds · Direct	**Upgrade**

Verdict: **1 upgrade.** Prefer a monthly SIP? A gold mutual fund holds the same gold.

PUTTING IT TOGETHER

Decoding “Bharat Bond FoF April 2030”

Q1 · What do I own?	Equity · **Debt** · Gold · Hybrid	**Default**
Q2 · Where?	**India** · International	**Default**
Q3 · Who picks?	Active · **Index** · Strategy index	**Default**
Q4 · How do I hold it?	Mutual fund · ETF · **Fund of Funds** · Direct	**Default**

Verdict: **0 upgrades.** A mutual fund that holds the Bharat Bond ETF, so you can SIP into it.

YOUR TURN

Decode these. 4 answers each.

Nifty 50 Index Fund

Gilt Fund

Momentum ETF

US Fund of Funds

The answers

PRODUCT	WHAT	WHERE	WHO PICKS	HOW HELD	UPGRADES
Nifty 50 Index Fund	Equity	India	Index	Mutual fund	0
Gilt Fund	Debt	India	Active	Mutual fund	0
Momentum ETF	Equity	India	Strategy	ETF	2
US Fund of Funds	Equity	US	Index	FoF	1

Blue = default. **Amber** = upgrade. More upgrades = further out in your satellite.

Do you need it?

You can now read any product.
Next: decide if it belongs in your portfolio.

DO YOU NEED IT?

Your portfolio has a shape



Core = all 4 defaults

Asset matched to time horizon, India, index or active by size, mutual fund. Does the heavy lifting.

Satellite = 10-20%

Every upgrade lives here: own stocks, international, strategy funds, ETFs.

Before any upgrade, 3 checks

1 Is my core already in place?

2 Do I understand how it can fail?

3 Will I hold it through 3 bad years?

Common mistakes

Upgrades before the core

US stocks and momentum ETFs, with no basic SIP running yet.

Chasing last year’s winner

Buying a strategy or a country because it topped the 1-year returns table.

Collecting products

15 funds that own the same stocks is not diversification.

Questions?

Decode with 4 questions. Decide with defaults first, upgrades earned.

Sharique Samsudheen